

asset prices set off a vicious cycle, triggering more unwinding of carry-trades, the tremors of which were felt across global financial markets.

In a desperate measure to staunch the huge outflow of FII money, SEBI reversed the restrictions it had put on P-notes the previous October. But FIIs were in no mood to invest fresh money in Indian equities, and the freedom to take up positions through P-notes made no difference to their outlook.

SEBI then tried some strong-arm measures. It asked FIIs to disclose shares borrowed from P-note accounts for short-selling. This was to send a subtle signal to the FIIs that short-selling was not welcome. The smarter among the FIIs took the hint and immediately stopped short sales. Some others persisted. Within a week, SEBI had banned FIIs from short-selling using borrowed shares. But this measure too had little effect. In the net, FIIs sold over Rs 14,000 crore's worth of shares in October 2008

It turned out to be a rough month for domestic mutual funds too. Strangely, it was not the equity portion of the business that was causing them a headache, though stock prices were in a free fall. As was the case in the US, money market funds in India too witnessed massive redemptions beginning mid-September and extending all the way up to end-October 2008. In all, corporates and HNIs pulled out Rs 71,000 crore during this period.

Many investors in money market mutual funds shifted their funds to banks, which were offering much better interest rates, besides being safer. Money market funds invest in certificates of deposit of companies, in debentures and in commercial papers (unsecured short-term borrowings by companies with a high credit rating). Swamped with redemption requests from investors, money market funds tried to sell their assets. To their dismay, they found no takers for those securities. They tried borrowing from banks to pay off their unitholders, but banks were stingy in honouring their credit lines to the stricken mutual funds. For a long time now, banks had been nursing a grudge against mutual funds as their (mutual funds) debt market schemes were direct competitors to the fixed deposits they offered. And while banks may have had sound reasons for not lending too much to mutual funds in the current situation, they secretly enjoyed the spot mutual funds were finding themselves in, and were now legitimately extracting their pound of flesh.

Banks charged mutual funds anywhere between 11 per cent and 24 per cent, and there were a few cases where some fund houses were charged 39-